

conflict with their ideologies, they find ways to ignore it. Emotional narratives overwhelm data or evidence-based analyses. They are *Homo sapiens* operating the way *Homo sapiens*' wetware has operated for hundreds of thousands of years.

As Storr writes, "Stories change us first, and then they change the world."

All of our models are imperfect; useful, but wrong. But our mental concepts of the world we live in don't have to be perfect; they need only be good enough to allow us to find food and water, avoid becoming someone else's lunch, locate shelter, and generally survive long enough to procreate and perpetuate the species. Good enough is all we need for those purposes.

That isn't good enough for deciding where and how to risk money in the capital markets.

And yet, this may be counterintuitive: Having an accurate 360-degree view of the world, a model with perfect comprehension of the objective universe, wouldn't aid the purpose of sustaining human life. That sort of mental model would be a huge burden to create and maintain in terms of sensory perceptions and energy consumption.

From an evolutionary perspective, a perfect model of the world would not help the species survive; it might even make perpetuation less likely during times of limited resources or environmental stress.

Storr quotes Jonathan Haidt,^{[391](#)} the Thomas Cooley Professor of Ethical Leadership at New York University, who notes that the world is "not really one made of rocks, trees, and physical objects; it is a world of insults, opportunities, status symbols, betrayals, saints, and sinners."

In other words, *beliefs*.

You can see this in the investing debates that take place every day. It is how people rationalize their current holdings. They talk their book because portfolios reflect their mental models. Whether you are a value investor or an active trader, you believe you understand how the market or the